

Investment Opportunity

April 2020

Company Purpose

We believe that connecting financial institutions together digitally is critical to the proactive management of **Operational Risk** and that this technology network creates a scalable, defensible and profitable business

"The risk of loss resulting from inadequate or failed internal processes, people and systems or from external events."

The Basel Committee on Banking Supervision definition of Operational Risk (also known as non-financial risk)

"I have seen Operational Risk rise in significance. I've always wondered what it would take to turn it into an engineering discipline – Acin answers my question."

Cris Conde (Former President and CEO, SunGard)

Evolution

Acin has Transitioned from an Operational Risk Consultancy to a SaaS and Data Subscription Network Serving Tier 1 Financial Institutions



Operational Risk Definitions

Key Focus of the Basel Committee on Banking Supervision



Operational Risk – The Problem

A Complex, Opaque Area Which is Costly for Organisations

	Regulatory focus	Remains a focus area and SM&CR creates personal liability for senior managers
	Opaque picture	Being in control cannot be proactively demonstrated, challenged, objectively measured and reported
	Organisational challenges	Organisations are continuously re-inventing the wheel and not leveraging collective industry knowledge
	Complexity	Up to 100,000 risks and controls per Financial Institution This risk and control data is itself not in control
	Manual processes	Non-standardised, Excel-based, no data lineage. Risk and Control Self-Assessment (RCSA) inefficient today
	No context	Standalone assessments – duplicative work with no standardisation or benchmarking
	Not a strategic tool	Controls data as an asset (e.g. reference, thematic, rating, incidents, losses) cannot be tagged and used as a tool

Getting it wrong is costly...

\$150bn p.a. gross losses

ORX Banking Loss Report, 2018

\$376bn in fines since 2012

AFME, Apr 2018

\$26bn annual regulatory costs

AFME, Apr 2018

\$411bn OpRisk capital top 30 banks

Sands, Liao, Ma (2016)

... but banks do keep getting it wrong

Operational Risk Challenges

Regulators Still Remain Very Focused on Risks and Controls

"firms were less able to demonstrate that senior management had clear sight and control of the conduct risks presented by the front office in terms of conflicts of interest or more serious issues around market abuse, such as a rogue trader, or potential market manipulation"

FCA, Sep 2015



"What proactive steps do you take as a firm to identify the conduct risks inherent within your business?"

"What support does the firm put in place to enable those who work for it to improve the conduct of their business or function?"

"Progress and challenges" – 5 Conduct Questions, Industry Feedback for 2018/19, FCA, May 2019

The Acin Terminal

The Acin Terminal has been designed to help our clients solve some of the many non-financial risk challenges that they face



Data Management

Structure and manage your data to unlock the power of the Acin Network and stay aligned to the latest industry thinking.



Data Architecture

Align your risks and controls data around a standardized architecture to facilitate cross-industry comparison and interpretation.



Risk & Control Explorer

Interrogate and visualize your non-financial risk and control landscape to understand relationships and alignment to the rest of the network.



Risk Intelligence

Analyse how prepared your business is to respond to industry incidents, common risk scenarios, regulatory changes and other events.



Benchmarks & Analytics

Visually compare how you perform against your competitors and identify the non-financial risk and controls gaps across the industry.



Risks and Controls Content

Identify and adopt market leading risks and controls curated by industry experts and validated by members of the Acin network.

The Acin Platform

Data-First Build Strategy Delivers an Easy-to-Use Platform for Use Across Organisations

Build the Acin Network through Data Standards

Connecting multiple data sources to form a standardised view of the non-financial risk landscape

Accelerate Delivery through Technology

Utilising Agile, DevOps and Continuous Integration and Deployment to deliver rapidly at scale

Drive Value through Feature Led Delivery

Building a solution that solves the problems of customers by involving them in feature definition

Identify Opportunities and Insights through Data Analysis

Driving deep data analytics to highlight systemic risk threats across the industry and at customer level

Present meaningful information

Information is presented back to clients through the Acin Terminal. This provides a set of reporting and dashboards to access the valuable insights Acin has calculated



Smart integration with clients

Client interfaces are presented as a set of accessible APIs. These integrate with our bespoke Natural Language Processing engine to generate the relationships between a client and the network



Standardise and store Acin data

The Acin standard data taxonomy has been developed to understand, store and manage all Operational Risk data and the associated relationships (networks)



Build Security into everything

Benefits to Clients

Transformation of the Risk and Control Environment



More effective control environment

- ✓ Lowers the number of incidents and therefore lowers fines and losses



More efficient control environment

- ✓ Delivers operational cost savings



Systematically maintaining control and creating transparency

- ✓ Produces transparency, operational cost savings and drives effectiveness and efficiency



Demonstration of control to regulators

- ✓ Quantitative evidence and real-time independent peer benchmarking



Peer collaboration and network effect

- ✓ Context and ability to use as strategic tool
- ✓ Real-time risk intelligence and assurance
- ✓ Risk identification ensures no unknown unknowns that are known to peers/industry

Client Case Studies

The Acin Solution Identifies Significant Risk/Control Deficiencies – Allowing for Reinforcement Action and Improved Efficiency and Reporting

	% Missing vs. Acin Standard	Gaps Identified	Top 3 Areas of Risk	Key Findings	No. of Acins
Bank 1	 32%	24 Key controls missing 26 Key risks missing 90 Metrics missing	- Unauthorized trading - Third party - Cyber risk	- Significant gaps to the Acin database with missing risks and controls - KPIs for controls missing across the board	45
Bank 2	 55%	8 Key controls missing 15 Key risks missing 134 Metrics missing	- Unauthorized trading - Infrastructure - Product defect	55% of duplicates, in excess of 400 controls 14% controls without description - Missing core attributes incl. metrics, control family, owner	163
Bank 3	 48%	11 Key controls missing 7 Key risks missing 134 Metrics missing	- Rogue Algorithms - Infrastructure - Risk culture	- Absence of control metrics - Control description often weak	333

The Acin Solution

Acin is a Technology Solution to Identify, Manage, Benchmark and Analyse Operational Risk



Data

- All relevant data is recorded in a structured manner, enabling strategic insights to be drawn
- Platform reduces number of manual processes required to identify and track risks
- Acin sets data protocols and standards in consultation with participating Financial Institutions



Network

- Risk intelligence is shared between client firms in network i.e. a risk known to one member of network is known to all
- Acin serves as the network hub and controller



Benchmarking

- Acin benchmarks clients' risks and controls against peers, scoring their effectiveness and efficiency
- Report is provided alongside clear steps to address weaknesses found



Risk Intelligence

Regular risk intelligence reports are produced by the Acin team using network data

Colocation/WFH (Covid-19)

- Supervision & Surveillance
- Data-driven Networked-assurance on a specific Risk Scenario



Vendor / 3rd Party Controls

- SEBI incident
- Data-driven analysis of a **new risk**



Preventative Control Analysis

- eTrading control automation
- Data-driven Network-assurance on a specific Regulator Enquiry



Recent Examples

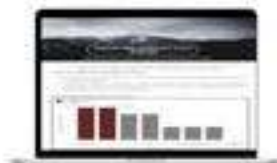
Resiliency & Disorderly Trading

- eTrading businesses
- Data-driven Networked-assurance on a specific Risk Scenario



Front-Office Supervision

- eTrading & high touch businesses
- Data-driven Networked-assurance on a specific Theme, incl. mapping to FMSB



MS TRL Marking Incident

- eTrading businesses
- Data-driven Networked-assurance on an Incident

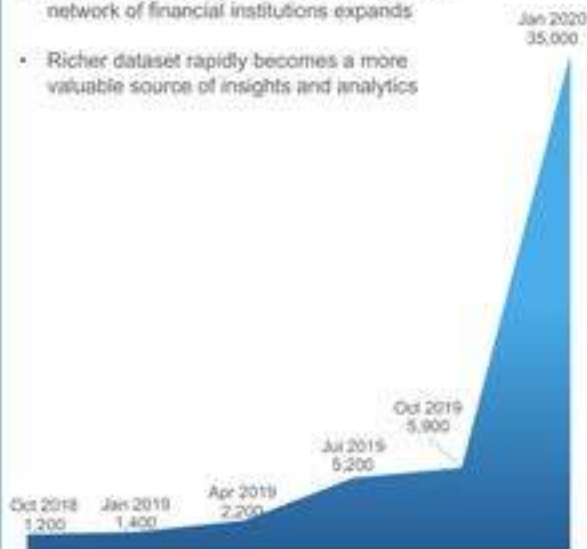


Data Growth Drives Control Optimisation

Ability to Drive Entire Sector to an Optimised, Standardised Environment

Scaling in Unique Control Identifiers...

- Acin dataset is growing exponentially as the network of financial institutions expands
- Richer dataset rapidly becomes a more valuable source of insights and analytics



... Drives Network Insights for Clients

- Acin is enabling clients to optimise their risk and controls individually
- This network improves the whole industry

